DOLCEVITA

PREPARED EXCLUSIVELY FOR HH PRINCE ABDULAZIZ BIN FAHD BIN ABDULLAH — FAMA HOLDINGS

# Sunset Beach Resort Marina & Spa

Management & Luxury Repositioning Proposal

LOCATION

Al Khobar, Eastern Province, Kingdom of Saudi Arabia

DATE

March 2026

PRESENTED BY

DolceVita Hospitality & Sophos Hotels

CLASSIFICATION

Confidential — For Intended Recipient Only

CONFIDENTIAL

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THE VISION

# *Transforming the Eastern Province's most iconic coastal estate into the Kingdom's premier luxury waterfront destination.*

Sunset Beach Resort sits on irreplaceable land — a private peninsula with 360-degree waterfront access, a marina, and direct proximity to Bahrain. Its physical DNA is extraordinary.

This proposal outlines how we will unlock that potential — first through operational excellence, then through strategic redevelopment — creating enduring value for generations.

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THE OPPORTUNITY

# An Irreplaceable Asset, Ready to Be Unlocked

| 253 | 3 | 360° | 7–9 km |
|---|---|---|---|
| KEYS / UNITS | PRIVATE BEACHES | WATERFRONT ACCESS | TO BAHRAIN CAUSEWAY |

## RESORT FACILITIES

- 3 restaurants & dining venues
- Event & conference hall
- Aqua park & 2 spas
- Marina & sports facilities
- Private peninsula location

## STRATEGIC POSITION

- GCC pioneer — luxury resort since 1970s
- 10 km from Al Khobar city center
- 4-hour drive from Riyadh
- Direct Bahrain corridor access
- Vision 2030 tourism alignment

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OUR APPROACH

# Operations First.
# Then Invest with Confidence.

A phased approach that proves the asset's commercial potential before committing to large-scale capital expenditure. Each phase builds on the last — creating real data, real reputation, and real returns that inform every subsequent decision.

PHASE 1
### Takeover & Transformation
Months 0–12

PHASE 2
### Development & Pre-Opening
Months 13–36

PHASE 3
### Full Management & Brand Guardianship
15 Years

This approach provides real performance data to size any future investment accurately — perhaps SAR 2.26B is not needed, perhaps less achieves the same result. It places operators who deeply understand the property at the center of the future investment plan.

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PHASE 1 — MONTHS 0 TO 12

# Operational Takeover & Luxury Transformation

## MANAGEMENT

- Day to day management and operations of the Sunset Beach Resort & Residence.
- Establishing operational policies and Standard Operating Procedures (SOPs)
- Design and execute a new commercial and marketing strategy to ensure optimal reach to targeted segments.
- Strengthen Online presence and overall visibility: Hotel or brand website, Online Booking Integration, social media, etc...
- Establishment of recruitment and training plans to qualify and develop national talents in line with international benchmarks.
- Organize the operations staffing structure and overall framework.
- Evaluate all costs and expenses, take necessary actions to reduce them without affecting the overall service quality.
- Implementation of governance and quality assurance systems to monitor performance and secure optimal results.

## CONSULTANCY SERVICES

- Development of the future strategic concept and positioning that reflect the project's identity and meet market needs.
- Built a Business Plan according to the desired concept approach.
- Facilitate negotiations with International Brands.
- Built an Area Program, respecting International standards and/or selected brand requirements.
- Provide our expertise into giving you the appropriate recommendations for development management, design review, project management, and cost control during this phase.

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PHASE 2 — MONTHS 13 TO 36

# Design, Technical Services & Operational Integration

*Working alongside the design teams, we will:*

### MASTER PLAN & ARCHITECTURAL REVIEW

- Review master plans, site plans and circulation (guest, staff, logistics, services).
- Ensure efficient zoning of rooms, public areas, aqua park, residences, BOH, parking and access.

### CONFIGURATION & SPACE PLANNING

- Confirm and fine-tune the number of keys and their mix (standard rooms, suites, special units, branded residences).
- Optimize public areas, F&B outlets, meeting rooms, spa, aqua park and kids' areas in line with target segments and revenue strategy.
- Validate and improve BOH areas (receiving, storage, kitchens, laundry, staff facilities) for operational efficiency.

### INTERIOR DESIGN INTEGRATION

- Review interior design concepts and layouts for rooms, corridors, F&B, meeting rooms and public spaces.
- Ensure that functional, emotional and brand requirements are all met.
- Advise on signage concepts (external and internal) that support navigation, safety and commercial flows.

### GUEST JOURNEY FLOWS & EXPERIENCE BLUEPRINTS

- Map physical and emotional guest flows: arrivals, circulation to rooms, F&B, wellness, kids' activities, etc...
- Identify friction points and re-design them into opportunities for delight and revenue (e.g. upgrade moments, cross-sell touchpoints, intuitive signposting toward high-margin venues).
- Develop experience blueprints that link design, staffing, SOPs and technology to the desired emotional outcome and commercial KPIs (ADR, TRevPAR, upsell conversion, repeat and referral rates).

### FOOD & BEVERAGE INFRASTRUCTURE DESIGN

- Review and optimize layouts for restaurants, bars, cafés, banqueting and support areas.
- Define preliminary F&B equipment lists and functional zoning (kitchens, cold rooms, bars, counters, dishwashing, storage).
- Support evaluation and recommendation of key F&B equipment and suppliers.

### INFORMATION TECHNOLOGY & SYSTEMS

- Advise on the hotel's IT backbone, including PMS, POS, reservations and distribution connectivity.
- Review requirements for network, back-office systems, telephony, CCTV, key systems, TV, payment solutions and guest internet.
- Ensure AV systems for meeting rooms and event spaces are aligned with the market positioning and revenue plan.

### CONSTRUCTION SUPPORT & PROJECT MONITORING

- Provide technical assistance visits at key stages.
- Review detailed drawings and design modifications for operational and brand compliance.
- Flag risks early and propose corrective actions.

PHASE 2 — MONTHS 13 TO 36

# PreOpening Preparation, Guest Experience & Commercial Launch

*We will support the project through pre-opening and launch by focusing on:*

### PRE-OPENING PROJECT MANAGEMENT

- Develop pre-opening critical paths and milestone plans.
- Coordinate with project stakeholders.
- Monitor readiness and manage risk items.

### ORGANIZATION & STAFFING

- Organizational structures and key positions
- Defining job profiles and recruitment priorities.

### COMMERCIAL STRATEGY & LAUNCH PLAN

- Set up a residential sales roadmap (lead generation, events, site-visits, closing) and a resort launch plan (pricing, distribution, partnerships).
- Link marketing and digital strategies to specific KPIs (direct booking ratio, unit sales, upsell ratios, campaign ROIs).

### GUEST EXPERIENCE, SERVICE DESIGN & CULTURE ACTIVATION

- Create concrete guest journeys and service scenarios for each segment
- Design service rituals and interaction techniques at key revenue moments.
- Use the Learn by Being™ model to train leaders and teams on the floor.
- Deploy GX tools to monitor guest and team culture and relate these metrics to revenue KPIs (ADR, TRevPAR, upsell conversion, repeat and referral rates).

### PRE-OPENING READINESS AUDITS

- Conduct readiness checks for rooms, public areas, systems and teams.
- Provide final recommendations and action plans prior to soft opening.

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PHASE 3 — 15 YEARS

# Full Management & Brand Guardianship

Long-term operational management under a Hotel Management Agreement, with continuous luxury quality assurance and brand guardianship ensuring Sunset Beach maintains its position as the Eastern Province's premier destination.

## HOTEL MANAGEMENT

- Full operational management per HMA terms
- Continuous performance optimization
- Revenue management & cost control
- Ongoing staff training & talent development
- Technology & systems evolution

## LUXURY QUALITY ASSURANCE

- Ongoing brand guardianship & standards monitoring
- Periodic luxury service training refreshers
- Guest experience audits & improvement programs
- Reputation management & KPI tracking
- F&B concept evolution & lifestyle curation

**Contract Term:** 15 years initial term, renewable for an additional 5 years upon mutual consent. Management fees structured as Base Fee (% of Gross Revenue) plus Incentive Fee (% of Adjusted Gross Operating Profit), aligning operator performance with owner returns.

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KEY DELIVERABLES

# Comprehensive Scope by Phase

| DELIVERABLE | PHASE 1 | PHASE 2 | PHASE 3 |
|---|---|---|---|
| Day-to-day resort management & operations | ● | ● | ● |
| SOPs, governance & quality systems | ● | ● | ● |
| Sales, marketing & distribution strategy | ● | ● | ● |
| Luxury guest experience design & service culture | ● | ● | ● |
| Brand repositioning & identity development | ● | ● | — |
| Leadership coaching & luxury training programs | ● | ● | ● |
| Strategic concept & business plan development | ● | — | — |
| International brand negotiations | ● | ● | — |
| Architecture & design coordination | — | ● | — |
| IT systems, PMS & technology infrastructure | — | ● | ● |
| Pre-opening management & readiness audits | — | ● | — |
| Brand guardianship & quality assurance | ● | ● | ● |

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FINANCIAL PROPOSAL

# Investment Summary

| PHASE | DURATION | MONTHLY FEE | PHASE TOTAL | SCOPE |
|---|---|---|---|---|
| Phase 1 | Months 0–12 | $16,083 | $193,000 | Operational management, luxury brand repositioning, guest experience design, service training, quality assurance, strategic consultancy |
| Phase 2 | Months 13–36 | $12,833 | $308,000 | Technical advisory, pre-opening, brand development, architecture coordination, guest experience & commercial launch |
| Phase 3 | 15 Years | Management Fees | Variable | Luxury quality assurance & brand guardianship + management fees (Base + Incentive) |

## MANAGEMENT AGREEMENT FEES (PHASE 2 ONWARDS)

- **Base Fee:** 2.45% GR (Yr 1–2), 3.15% (Yr 3–5), 3.90% (Yr 6+)
- **Incentive Fee:** 0–7% of AGOP based on GOP performance tiers

## NOTES

- The Master Plan and Vision Concept are **not included** within the proposed scope and fee structure and will be subject to a separate agreement
- DolceVita Hospitality will introduce its associate Italian architecture & design studio to lead the creative vision, concept development, and masterplan for the resort's repositioning — subject to a separate engagement
- Phase 2 fees are indicative and subject to refinement based on Phase 1 operational findings, asset condition assessment, and the agreed scope of redevelopment
- Travel & direct expenses charged at cost
- All fees payable monthly from date of signing
- Taxes: each party responsible for its own income taxes

NEXT STEPS

# We Invite FAMA Holdings to Proceed

## 01

### Review & Align

Review this proposal with your team. We welcome the opportunity to present in person and address any questions directly with His Highness.

## 02

### Sign Letter of Engagement

Upon alignment, execute the Letter of Engagement formalizing the partnership terms, scope, and commercial framework outlined herein.

## 03

### Mobilize Within 30 Days

Our joint team begins on-site assessment and operational takeover within 30 days of signing, with Phase 1 deliverables initiated immediately.

**Validity:** The commercial terms in this proposal are valid for a period of 30 days from the date of presentation. This proposal has been prepared in good faith and forms the basis for a future formal agreement between the parties.

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*Crafted with distinction for*
*His Highness Prince Abdulaziz bin Fahd bin Abdullah*
*& FAMA Holdings*

DolceVita Hospitality — Sophos Hotels — Moqam

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